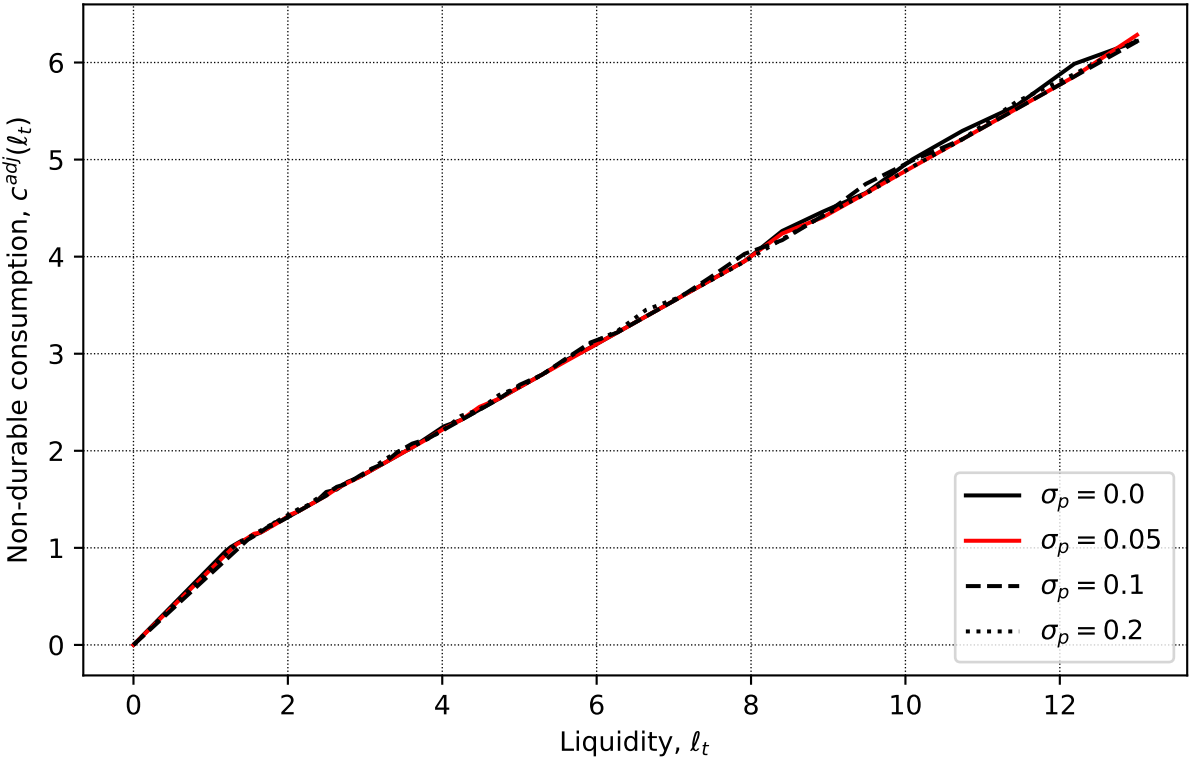
$\sigma_\varepsilon = 0$, $S = 0$, $\sigma_p \in \{0, 0.05, 0.1, 0.2\}$
Non-durable consumption, $c^{adj}(\ell_t)$
Liquidity, ℓ_t
0
1
2
3
4
5
6
0
2
4
6
8
10
12
$\sigma_p = 0.0$
$\sigma_p = 0.05$
$\sigma_p = 0.1$
$\sigma_p = 0.2$